

were to trade this with a half-height target, the success rate would be 100%, but you'd make no money.

Table 70.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The measure rule target is the left side of the V. The bottom portion of the table shows how often price reaches the target using various heights.
Buy	Place a buy stop a penny above the top, right side of the V (as soon as you know an extension is forming).

Description	Bull Market	Bear Market
Percentage reaching half height target	92%	93%
Left top of V	51%	36%
Percentage reaching 2× height	23%	10%
Percentage reaching 3× height	15%	4%

You can multiply the height by any number you wish before adding it to the V's low. Higher than 1 and the chances of price reaching it diminish dramatically, as the table shows.

Buy. As soon as you recognize the extension of an extended V-bottom, you can place a buy stop a penny above the top of the extension. That way, if price drops instead of rises, you won't enter a trade. If price rises, it'll get you into the trade at a good price. Just be aware that the ride to the ultimate high (or measure rule sell target) will likely be a bumpy one. Look at other extended V-bottoms (search for one in the same stock, stocks in the same industry, and stocks *not* in the same industry, in that order, until you find a few examples) to see how price has behaved after the extension completes. The time spent doing the research might save you a bundle.

Experiences

After peaking in early 2018, Cabot Corp. (CBT) saw price plummet in October before reaching a bottom in December 2018. I show only the